American oil companies.

MNCs also have their own sphere of influence through the division of world markets. They are often found to be engaged in diplomacy and espionage, traditional tools of state interaction. The huge economic resources at their disposal make them more powerful than several newer and smaller states as well as old states. In 1993, General Motors was listed first in the Fortune Global 500 (though today it is thinking of filing for bankruptcy) and it had gross sales larger than the GNP of Finland or Denmark. The number and importance of MNCs, therefore, have grown in the present day. Frankel observed that in 1972 “The Year Book of International Organizations” listed as many as 2,190 MNCs, compared to 1,000 in 1958. By 1990s, it is noted by most observers, that there were at least 10,000 firms with business activities spreading all over the globe to several countries and controlling over 90,000 subsidiaries. The United States was home to, 159 such MNCs, Japan to 135, and Britain to 41.[30]

MNC-optimists view the multinationals as “the most powerful agent for the internationalization of human society”. To them MNCs are “as huge economic combines that have the capacity, know-how, and wisdom to treat the world as a single unit and to combine the factors of production (labour, land, capital and management) for maximum efficiency and productivity, in accordance with the rules of the resuscitated law of comparative advantage”. Further, the MNCs can also act as powerful agents of modernization, especially among less-developed countries by creating new jobs, introducing advanced technologies, training local citizens and thereby, contributing to the development of the state. The managers and employees of the MNCs become globally oriented and world minded as opposed to anachronistic nationalism and war, thereby paving the way for the development of world peace. They will be humanity’s best hope for producing and distributing the resources of the earth.

Quite contrary to these views, the MNC-pessimists place their own objections while critically looking at the functioning of the MNCs. Barnet and Muller‡ in their “*Global Reach*” placed a very powerful argument that the MNCs are “the most powerful human organization yet devised for…colonizing…the future” and they offer little hope for